

Multiple Choice

1. **Answer:** B

Options: A) Net exports fall.; B) Income is transferred from domestic steel consumers to domestic steel producers.; C) Allocative efficiency is improved.; D) Income is transferred from domestic steel to foreign steel producers.

Note: Correct option: B - Income is transferred from domestic steel consumers to domestic steel producers.

2. **Answer:** D

Options: A) Both supply and demand shift rightward.; B) Both supply and demand shift leftward.; C) Supply shifts to the right; demand shifts to the left.; D) Supply shifts to the left; demand shifts to the right.

Note: Correct option: D - Supply shifts to the left; demand shifts to the right.

3. **Answer:** B

Options: A) the value of the dollar will tend to appreciate.; B) the value of the dollar will tend to depreciate.; C) exchange rates will be affected but not the value of the dollar.; D) the exchange rate will not be affected.

Note: Correct option: B - the value of the dollar will tend to depreciate.

4. **Answer:** C

Options: A) Demand is downward-sloping.; B) The demand curve lies above the marginal revenue curve.; C) Price is determined by the equilibrium in the entire market.; D) Average revenue differs from price.

Note: Correct option: C - Price is determined by the equilibrium in the entire market.

5. **Answer:** A

Options: A) There would be no change in the amount of corn demanded or supplied.; B) There would be a shortage created of corn.; C) There would be a surplus created of corn.; D) The producers of corn would lose revenue due to the decreased price.

Note: Correct option: A - There would be no change in the amount of corn demanded or supplied.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'output must have increased proportionally more than population.'

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'money in household savings accounts can now buy fewer goods and services.'

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Mexico (\$5).. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** The purchase of bonds. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key